

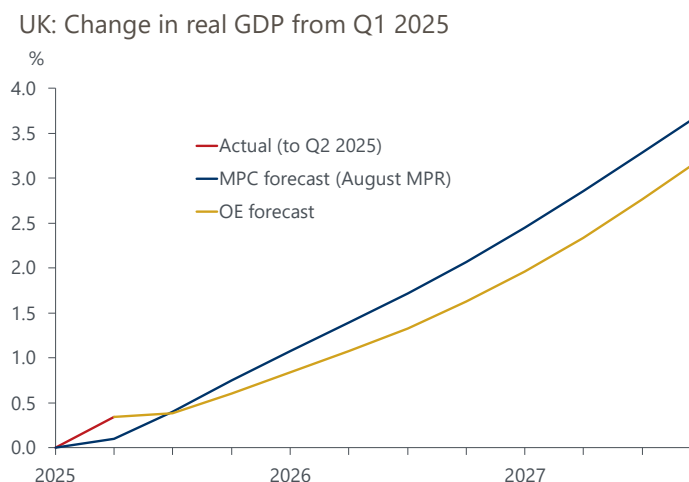
## Research briefing | UK

# What could prompt the BoE to cut further and/or faster?

- The Monetary Policy Committee's language and the close August policy vote point to a more cautious approach to further near-term monetary easing. The chance of another rate cut by year-end is now less than 50:50 in our view.
- However, several factors could prompt the MPC to shift to a more dovish stance over time: weaker-than-expected economic growth and evidence that this is producing a further rise in spare capacity; greater certainty that pay growth will slow to a target-consistent pace next year, and that lower pay growth will feed through to services inflation; or (as external MPC member Alan Taylor argues) more signs that a neutral policy rate ( $r^*$ ) is 2%-3% rather than (as some guides imply) 3%-4%, coupled with a stronger willingness to base policy decisions on where rates sit relative to estimates of neutral.
- The case for further easing may not come together quickly, but is likely to strengthen over the next few quarters. GDP growth probably will underperform the MPC's forecasts, with unemployment rising, while pay growth is likely to return to a target-consistent pace over the next 12-18 months, with evidence of pass-through to services prices.
- It's probably less likely that the MPC will put weight on relatively low  $r^*$  estimates as a key driver of policy decisions in the coming year. But this may be a factor supporting additional easing further ahead, especially if inflation expectations return to pre-pandemic levels.
- Our base case is that the MPC will keep rates on hold to year-end but cut Bank Rate to 3.5% at the end of next year and to 3.0% over the next two years, eventually falling somewhat below market pricing.

Thus far, the MPC's easing cycle has, to an extent, been on auto-pilot. It's been willing to cut rates once per quarter on the basis that policy is clearly restrictive and, although pay growth and services inflation remain above target-consistent rates, they are slowing and likely to weaken further. The very close August vote seems to suggest that this phase is over. Bank Rate is approaching some estimates of neutral and pay growth and services inflation remain above target-consistent rates, so the MPC is signalling a more cautious attitude to future easing. The auto-pilot has been turned off.

Chart 1: GDP exceeded MPC expectations in Q2, but is likely to underperform from here



Source : Oxford Economics/Haver Analytics

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The MPC doesn't seem to be signalling that easing is over. Its central forecast in the August Monetary Policy Report (MPR; based on a market curve that included a further 50bps drop in Bank Rate over the next year) showed CPI inflation at the 2% target two and three years ahead. But it's clearly more cautious about cutting near term, and not necessarily tied to the pace of easing implied by that market path. In setting policy, MPC members [put less weight on their central economic forecast](#) now than a few years ago, and more weight on shifting risks around that central forecast. Since the MPR, the market rate path has risen, and now prices in only about 40bps of further easing (ie one or two 25bps cuts).

In this Research Briefing, we present three potential triggers that could cause the MPC to cut further and/or faster than its recent cautious language indicates.

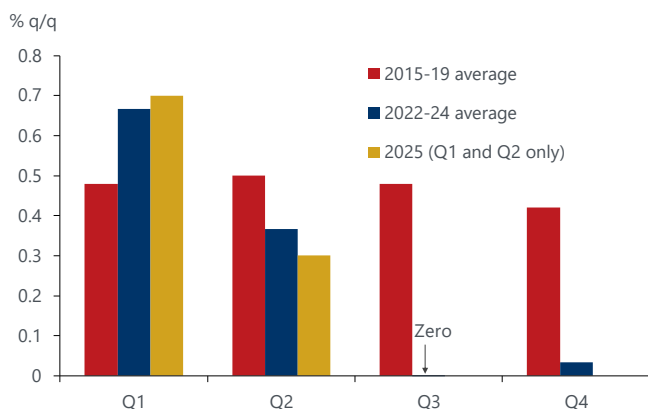
## 1. Prospects of persistent weak growth

The MPC's central forecast in the [August MPR](#) was that GDP growth will be 0.3% q/q in Q3 and Q4 this year (similar to potential growth), stay around that pace in 2026, and rise a little above potential in 2027-28. As a result, in the MPC's forecast, the output gap closes over the next three years, and the jobless rate stabilises around current levels.

Since then, Q2 GDP growth (0.3% q/q) has come out a little stronger than the MPC expected (0.1% q/q). However, we regard its forecast for the coming quarters as overly optimistic. Our base case is that GDP growth will average 0.1% q/q in H2 this year, with 2026 growth at 0.9% y/y versus the MPC's 1.2% forecast. Monetary policy remains somewhat tight, fiscal policy is tightening, and elevated trade policy uncertainty is likely to restrain global growth. Most business surveys also point to a subdued near-term growth outlook. Moreover, there seem to be problems with the seasonal adjustments for the GDP data, which have shown relatively strong growth in the first half of the year and little or no growth in the second half in each of the past three years. This also adds to the prospect of soft H2 GDP data.

### Chart 2: In recent years, GDP growth has tended to be strong in H1, weak in H2

UK: Q/Q Real GDP growth



Source: Oxford Economics / Haver Analytics

At the same time, the jobless rate is likely to rise further, given weakness in firms' hiring intentions and the ongoing decline in job vacancies.

Growth prospects are likely to be further dented if, as seems likely, the [autumn Budget](#) (scheduled for 26 November) includes further fiscal tightening through tax hikes to offset the adverse fiscal effects of a downgrade to the Office for Budget Responsibility's potential growth outlook. Extra fiscal tightening may be backloaded, given the horizon for the fiscal rules is 2029/30. But the prospect of that extra fiscal drag – on top of the tightening already announced – probably will weigh on growth over the MPC's shorter three-year forecast horizon.

Nevertheless, the MPC may face difficulty in the next few months in judging whether the outlook for growth and jobs is genuinely weaker than expected and, if it is, whether this reflects a deterioration in potential growth or a rise in spare capacity. For example, it might initially view an undershoot in Q3 GDP growth as a temporary payback for the upside surprise in Q2 GDP or as reflecting seasonal factors, rather

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than a signal of persistent weakness. Moreover, the official labour market data are such a mess that, if they appear weak, the MPC may be reluctant to put much weight on them. And even if the MPC concludes that the jobless rate is rising more than expected, it might regard this as a sign that the hikes in National Insurance Contributions (NICs) and the National Living Wage (NLW) are causing a bigger-than-expected rise in structural unemployment (which would not affect the inflation outlook), rather than a rise in spare capacity (which would point to lower inflation).

As a result, it would probably take more than a month or two of modest weakness in activity and jobs to prompt the MPC to ease further. It might take marked or persistent weakness in activity. It's unlikely such data could emerge as soon as the MPC's November meeting and would probably take at least until the December meeting or a meeting early next year.

## 2. Pay growth and services inflation are slowing to target-consistent rates

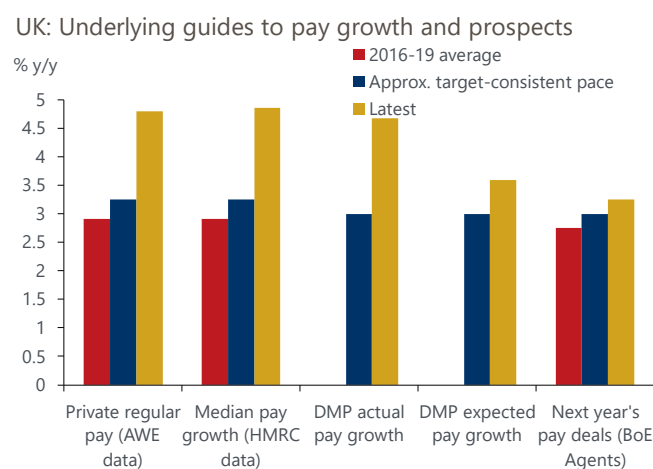
Currently, private regular pay growth (4.8% y/y in Q2) remains well above a [target-consistent pace \(3-3.5% y/y\)](#). Services inflation is even higher, at 5% y/y, compared with a target-consistent pace of around 3%.

In the MPC's forecast, base effects will reduce private regular pay growth to 3.7% in Q4 this year, with a more persistent slowdown to 3-3.25% y/y in 2026-27. But this slowdown isn't guaranteed.

There are risks that pay growth will stay above a target-consistent pace next year (for example, around 4% y/y). Some risks come from sticky inflation expectations and pressure for real wages to catch up, especially given that CPI inflation is likely to hit 4% y/y in the next few months. Other risks stem from increases to the NLW, which is [currently expected to rise 4.1% y/y in 2026](#), along with a gradual extension of the main NLW rate to 18-20 year olds. Recent large rises in the NLW mean that [more people are paid at or near it](#), and hence, knock-on effects from NLW increases may be greater as firms try to limit the compression of wage differentials for their employees.

The latest guides to next year's pay prospects aren't yet in line with a target-consistent pace. The Bank of England's Decision-Maker Panel (DMP) survey points to pay growth of 3.6% next year, but the BoE agents recently reported that, for next year's pay deals, there's "a rough average of 3%-3.5%" (with upside risks from above-target CPI inflation and the rising NLW). On average since 2007, private regular pay has been about 0.25ppts above the BoE Agents' survey median of pay deals (sampled at the end of the prior year), reflecting pay drift (promotions, etc.) and composition effects. Similarly, recent outturns for private regular pay on average have been 0.3ppts-0.4ppts above the DMP survey of a year earlier. So, if the MPC wants to see 3%-3.5% private regular pay growth next year, it would probably be content if the Agents and the DMP report average pay deals are around 3%. But current levels are probably still a little too high.

### Chart 3: Recent guides to pay growth remain above a target-consistent pace



Sources: Oxford Economics, Haver Analytics

The MPC will get a bit more clarity on the likely outturn for next year's pay deals each month, with early results from the Agents' survey likely to be available for the December meeting. But the MPC probably won't get a clear picture until early next year, given that most pay deals are awarded in January-April. It's

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unlikely the MPC can be confident that private regular pay will slow to a target-consistent pace next year before then. And if the outturn for median pay deals next year is around 3.5%, it will probably conclude that pay growth will remain a little too high for comfort in 2026.

Moreover, even if pay growth slows, the MPC will probably want to see more evidence that this is feeding through to core services inflation. The [MPC's August statement](#) reflected its anxiety over the apparent lack of passthrough from slowing pay to core services inflation: "There remained greater signs of disinflation from labour market quantities and wages, than from developments in domestic prices". Again, this evidence will probably come through over time, but not quickly. This year's hikes in NICs and the NLW have [relatively large effects on costs](#) in consumer services and, in the near term, passthrough of these costs may continue to lift core services inflation even while overall pay growth slows. And these cost pressures may fade only gradually during next year, because firms might seek to rebuild margins by passing on more of these costs to prices.

## 3. Greater confidence in a lower estimate of the neutral policy rate

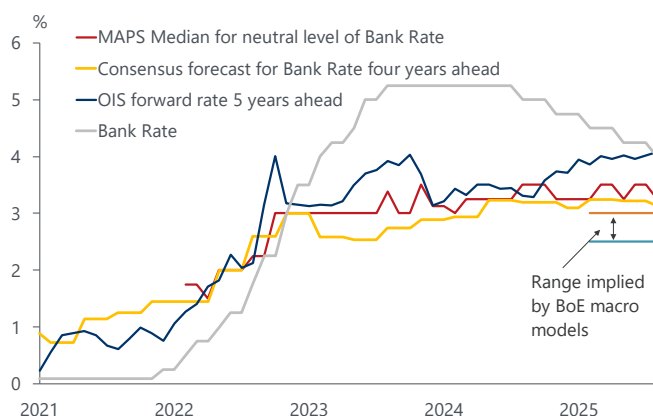
Currently, MPC members have differing views over the neutral level of policy rates, and in general, the MPC is less willing than the ECB to rely on estimates of neutral as a guide to setting policy.

At the low end, macro models used by the BoE currently point to a [neutral nominal rate of 2.5%-3%](#). These estimates have been highlighted by [external MPC member Alan Taylor](#), who has argued that policy remains quite tight versus a 2.75% neutral policy rate, and this has underpinned his dissenting votes for greater easing in order to avoid having an unnecessarily tight stance. However, these estimates are based on structural drivers of neutral real rates and assume that inflation expectations match the 2% target – which isn't the case. Median household inflation expectations are currently 4.0% for the year ahead and 3.9% y/y for the next 5-10 years, respectively 1.5ppts and 0.7ppts above their pre-pandemic averages. Similarly, the [BoE's DMP survey](#) suggests that on average firms expect to lift their selling prices by about 3.5% during the year ahead, roughly 1ppt faster than the 2017-19 average. Allowing for the higher current level of inflation expectations (especially longer-term expectations) would imply a higher neutral nominal rate.

Other guides to neutral give higher figures. For example, financial markets imply that Bank Rate will be just above 4% in five years' time (a horizon far enough ahead that cyclical factors affecting rates should have faded). The [BoE MAPS survey](#) suggests the external consensus is that neutral is 3.25%-3.5%, while the [external consensus](#) among economists is that Bank Rate will be 3%-3.25% in four years' time. BoE Deputy Governor Clare Lombardelli [recently argued](#) "it's plausible that neutral may be closer to the upper end of the 2-4% range from Bank analysis". External MPC member Catherine Mann [has suggested that neutral is around 3.5%](#). Any of these figures could be cited as a valid guide to neutral. Against these higher benchmarks, Bank Rate at 4% appears to be only mildly restrictive, if at all.

**Chart 4: There's significant disparity between guides to the neutral level of rates**

UK: Bank Rate and guides to neutral level of rates



Sources: Oxford Economics, Haver Analytics

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MPC members might be more willing to cut faster or further (to prevent policy being overly restrictive) if their views converge on neutral being around 3% or lower, and they attach relatively high confidence to that estimate. In turn, this would probably require growth and/or inflation to undershoot their expectations, while other guides to neutral (for example, the external consensus and market pricing) converge down to 3% or lower, along with a decline in inflation expectations to pre-pandemic norms.

This is probably a less likely early route to faster MPC easing than the two scenarios discussed above. Moreover, the MPC would probably only be willing to reappraise its estimates of neutral, and rely on them, if it has observed these trends for a while – quarters or years rather than months or weeks.

## Easing is likely to be gradual rather than rapid

Although there are several potential triggers for the MPC to cut further and/or faster than markets expect, the evidence may not come together in the next quarter or two. In the near term, the MPC may be slow to react to modest weakness in growth during H2, the jobs data are likely to remain uncertain, the outturn for pay deals next year may remain unclear until early 2026, services inflation is likely to remain around 5% y/y over the next six months, and the debate over the neutral level of rates is likely to remain unresolved. As a result, our base case is that the MPC won't cut rates again by year-end.

But a cautious approach to easing in the next few months implies a more prolonged period of relatively tight monetary policy that is likely to dampen growth, reinforcing the case for further easing over the next couple of years.

Our [base case for further gradual MPC easing](#) over time (to 3.5% at end-2026, 3.0% at end-2027) includes elements of all the potential drivers discussed above, but at different horizons. Evidence of undershooting growth and rising unemployment is likely to come through in the next few quarters. Pay growth is likely to return to a target-consistent pace during the next year or two, but (unless 2026 pay deals converge on 3%) it may remain uncertain in the next quarter or two as to whether this will happen in 2026. As inflation settles close to target in the next year or two, inflation expectations may gradually drift a bit lower over time, creating greater confidence among MPC members that neutral is below 3.5%.